

Chapter1

WHAT ECONOMICS IS ABOUT

Goods and Bads

Economists talk about **goods** and **bads**. A **good** (tangible or intangible) is anything that gives a person utility or satisfaction. For example following tangible and intangible goods give individuals utility. Tangible goods: a computer, a car, a watch, a television set and intangible goods: friendship, and love.

A **bad** is something that gives a person disutility or dissatisfaction. If the flu gives you disutility or dissatisfaction, then it is a bad.

Utility: The satisfaction one receives from a good.

Disutility: The dissatisfaction one receives from a bad. There are some goods that give one utility and other disutility, e.g., cigarette.

Resources Resources sometimes are known as inputs or factors of production. Generally, economists divide resources into four broad categories: **land, labor, capital, and entrepreneurship**.

Land includes natural resources, such as minerals, forests, water, and unimproved land. For example, oil, wood, and animals fall into this category. (Sometimes economists refer to this category simply as natural resources.)

Labor consists of the physical and mental talents people contribute to the production process. For example, a person building a house is using his or her own labor.

Capital consists of produced goods that can be used as inputs for further production. Factories, machinery, tools, computers, and buildings are examples of capital.

Entrepreneurship refers to the particular talent that some people have for organizing the resources of land, labor, and capital to produce goods, seek new business opportunities, and develop new ways of doing things.

Scarcity and a Definition of Economics **Scarcity** is a key concept in economics. **Scarcity** is the condition in which our wants (for goods) are greater than the limited resources (land, labor, capital, and entrepreneurship) available to satisfy those wants. Scarcity is our infinite wants hitting up against finite resources. If our wants weren't greater than the limited resources available to satisfy them, there would be no field of study called economics. **We define economics as the science of scarcity. More completely, economics is the science of how individuals and societies deal with the fact that wants are greater than the limited resources available to satisfy those wants.**

Scarcity has three effects: (1) the need to make choices, (2) the need for a rationing device, and (3) competition.

Choices: People have to make choices because of scarcity. Because our unlimited wants are greater than our limited resources, some wants must go unsatisfied. We must choose which wants we will satisfy and which we will not.

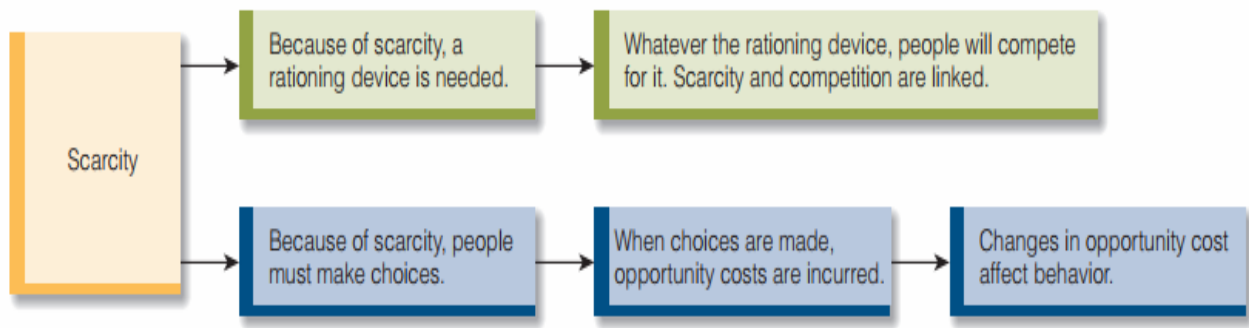
Need for a Rationing Device: A rationing device is a means of deciding who gets what. It is scarcity that implies the need for a rationing device. If people have infinite wants for goods and there are only limited resources to produce the goods, then a rationing device must be used to decide who gets the available quantity of goods. Rationing device are of two types- monetary rationing device e.g., dollar price and nonmonetary rationing device e.g., admission test.

Competition: **First**, the economist concludes, competition exists because of scarcity. If there were enough resources to satisfy all our seemingly unlimited wants, people would not have to compete for the available but limited resources. **Second**, the economist sees that competition takes the form of people trying to get more of the rationing device. If dollar price is the rationing device, people will compete to earn dollars.

Opportunity Cost: Because of limited resources we need to choose which wants we will satisfy and which we will not. The most highly valued opportunity or alternative sacrificed when a choice is made is known as opportunity cost. Every time you make a choice, you incur an opportunity cost.

Economists believe that a change in opportunity cost can change a person's behavior. You may not miss this class for 100 tk. income but you may miss the class for 15000 tk. income. **The higher the opportunity cost of doing something, the less likely it will be done.**

Scarcity and Related Concepts



Decisions Made at the Margin

People make decision by comparing benefit and cost. Economists believe that people do not compare total benefit and total cost. Most decisions deal with making a small, or additional, change. That means people make decision by comparing **marginal benefit** and **marginal cost**.

Marginal Benefits or Additional benefits: The benefits connected to consuming an additional unit of a good or undertaking one more unit of an activity. **Marginal Costs or Additional costs:** The costs connected to consuming an additional unit of a good or undertaking one more unit of an activity.

Condition	Action
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MB of next hamburger > MC of next hamburger	Buy next hamburger
MB of next hamburger < MC of next hamburger	Do not buy next hamburger

According to economists, when individuals make decisions by comparing marginal benefits to marginal costs, they are **making decisions at the margin**. **Decisions at the Margin:** Decision making characterized by weighing the additional (marginal) benefits of a change against the additional (marginal) costs of a change with respect to current conditions.

Efficiency In economics, the “right amount” of anything is the “optimal” or “efficient” amount, and the efficient amount is the amount for which the marginal benefits equal the marginal costs. Stated differently, you have achieved efficiency when the marginal benefits equal the marginal costs. **Efficiency** exists when marginal benefits equal marginal costs.

Suppose you are studying for an economics test, and for the first hour of studying, the marginal benefits (MB) are greater than the marginal costs (MC):

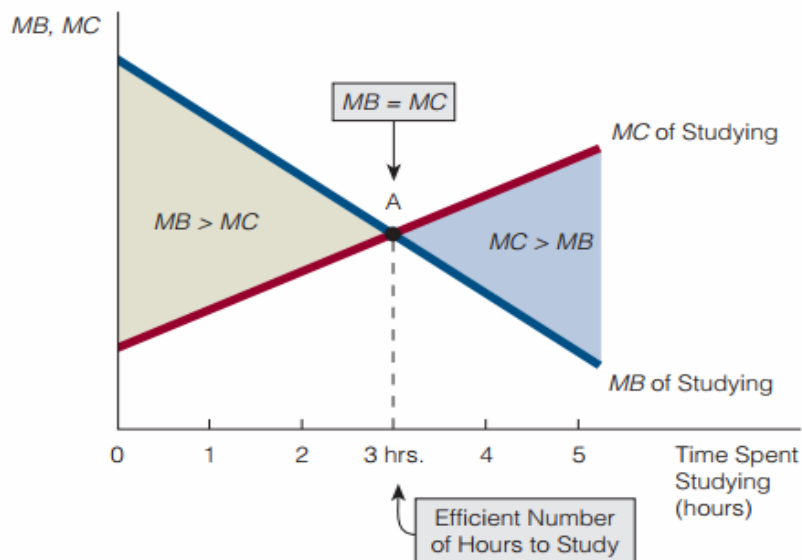
MB studying first hour > MC studying first hour

Given this condition, you will certainly study for the first hour. The additional benefits are greater than the additional costs, so there is a net benefit to studying. Suppose for the second hour of studying, the marginal benefits are still greater than the marginal costs:

MB studying second hour > MC studying second hour

You will study for the second hour because the additional benefits are still greater than the additional costs. In other words, it is worthwhile studying the second hour. In fact, you will continue to study as long as the marginal benefits are greater than the marginal costs.

The marginal benefit (MB) curve of studying is downward sloping because we have assumed that the benefits of studying for the first hour are greater than the benefits of studying for the second hour and so on. The marginal cost (MC) curve of studying is upward sloping because we assume that it costs a person more (in terms of goods forfeited) to study the second hour than the first, more to study the third than the second, and so on. **(If we assume the additional costs of studying are constant over time, the MC curve is horizontal.)**



In the exhibit, the marginal benefits of studying equal the marginal costs at three hours. So, three hours is the efficient length of time to study in this situation. At fewer than three hours, the marginal benefits of studying are greater than the marginal costs; thus, at all these hours, there are net benefits from studying. At more than three hours, the marginal costs of studying are greater than the marginal benefits, and so it wouldn't be worthwhile to study beyond three hours.

MAXIMIZING NET BENEFITS: Suppose you had stopped studying after the first hour. Would you have given up anything? Yes, you would have given up the net benefits of studying longer. To illustrate, notice that between the first and the second hour, the marginal benefits (MB) curve lies above the marginal costs (MC) curve. This means there are net benefits to studying the second hour. But if you hadn't studied that second hour—if you had stopped after the first hour—then you would have given up the opportunity to collect those net benefits. The same analysis holds for the third hour. We conclude that by studying three hours (but not one minute longer), you have maximized net benefits. In short, efficiency (which is consistent with $MB = MC$) is also consistent with maximizing net benefits.

Exchange

Exchange or trade is the process of giving up one thing for something else. Economics is sometimes called the “science of exchange”. People enter into exchanges to make themselves better off. Through trade or exchange, each person gives up something he or she values less for something he or she values more.

ECONOMIC CATEGORIES Four common economic categories are **positive economics**, **normative economics**, **microeconomics**, and **macroeconomics**.

Positive and Normative Economics **Positive Economics** is the study of “what is” in economic matters. It attempts to determine what is. Positive economics states the world as it is. It deals with cause-effect relationships that can be tested. Positive economics is predictable.

Normative Economics is the study of “what should be” in economic matters. It includes individuals’ value judgment. It is not predictable and cannot be tested.

An economist practicing positive economics would want to know the effect of a cut in income taxes. For example, she may want to know how a tax cut will affect the unemployment rate, economic growth, inflation, and so on. An economist practicing normative economics would address issues that directly or indirectly relate to whether the income tax should be cut. For example, she may say that income taxes should be cut because the income tax burden on many taxpayers is currently high.

Microeconomics and Macroeconomics

Microeconomics is the branch of economics that deals with human behavior and choices as they relate to relatively small units—an individual, a firm, an industry, a single market.

Macroeconomics is the branch of economics that deals with human behavior and choices as they relate to an entire economy. In microeconomics, economists discuss a single price; in macroeconomics, they discuss the price level. Microeconomics deals with the demand for a particular good or service; macroeconomics deals with aggregate, or total, demand for goods and services. Microeconomics examines how a tax change affects a single firm’s output; macroeconomics looks at how a tax change affects an entire economy’s output.

Microeconomists and macroeconomists ask different types of questions. A microeconomist might be interested in answering such questions as:

- How does a market work?
- What level of output does a firm produce?
- What price does a firm charge for the good it produces?
- How does a consumer determine how much of a good he or she will buy?
- Can government policy affect business behavior?
- Can government policy affect consumer behavior?

On the other hand, a macroeconomist might be interested in answering such questions as:

- How does the economy work?
- Why is the unemployment rate sometimes high and sometimes low?
- What causes inflation?
- Why do some national economies grow faster than other national economies?
- What might cause interest rates to be low one year and high the next?
- How do changes in the money supply affect the economy?
- How do changes in government spending and taxes affect the economy?

Possible questions and answers for quiz1 from chapter-1

1. What do you mean by resources?

Resources sometimes are known as inputs or factors of production. Generally, economists divide resources into four broad categories: **land, labor, capital, and entrepreneurship.**

2. What does land include?

Land includes natural resources, such as minerals, forests, water, and unimproved land. For example, oil, wood, and animals fall into this category.

3. Define labor

Labor consists of the physical and mental talents people contribute to the production process. For example, a person building a house is using his or her own labor.

4. Define capital

Capital consists of produced goods that can be used as inputs for further production. Factories, machinery, tools, computers, and buildings are examples of capital.

5. What do you mean by Entrepreneurship?

Entrepreneurship refers to the particular talent that some people have for organizing the resources of land, labor, and capital to produce goods, seek new business opportunities, and develop new ways of doing things.

6. What are the effects of scarcity?

Scarcity has three effects: (1) the need to make choices, (2) the need for a rationing device, and (3) competition.

7. What do you mean by Opportunity Cost

Because of limited resources we need to choose which wants we will satisfy and which we will not. The most highly valued opportunity or alternative sacrificed when a choice is made is known as opportunity cost. Every time you make a choice, you incur an opportunity cost.

8. How do people make decision at the margin?

According to economists, when individuals make decisions by comparing marginal benefits to marginal costs, they are **making decisions at the margin.**

9. What do you mean by efficiency?

In economics, the “right amount” of anything is the “optimal” or “efficient” amount, and the efficient amount is the amount for which the marginal benefits equal the marginal costs.

10. What do you mean by exchange or trade

Exchange or trade is the process of giving up one thing for something else. People enter into exchanges to make themselves better off.

11. What do you mean by marginal benefits

The benefits connected to consuming an additional unit of a good or undertaking one more unit of an activity.

12. What do you mean by marginal costs?

The costs connected to consuming an additional unit of a good or undertaking one more unit of an activity.

Possible Questions and Answers for Mid1 from Chapter-1

1. Explain the effects of Scarcity

Scarcity has three effects: (1) the need to make choices, (2) the need for a rationing device, and (3) competition.

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2. How do people make decision at the margin? How efficiency is obtained? Explain.

People make decision by comparing benefit and cost. Economists believe that people do not compare total benefit and total cost. Most decisions deal with making a small, or additional, change. That means people make decision by comparing **marginal benefit** and **marginal cost**.

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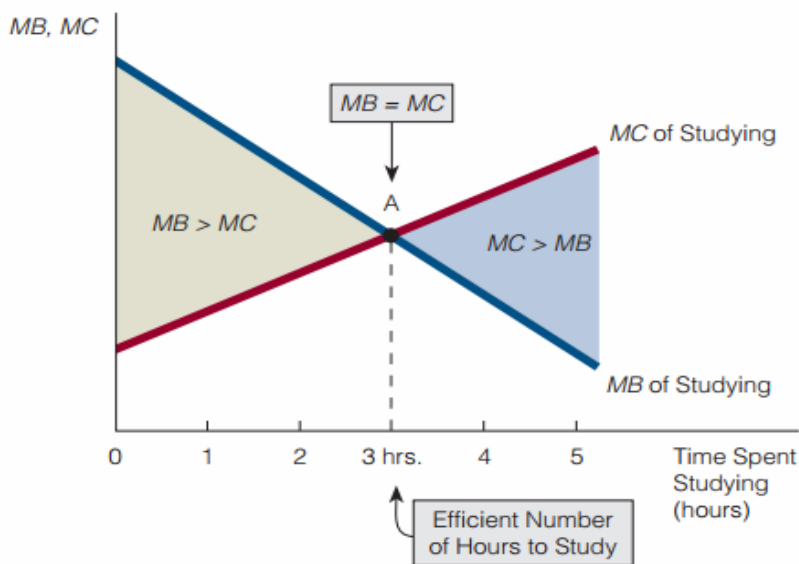
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